AR 2EB

ALAMEDA RESEARCH
2: ELECTRIC BOOGALOO
LONG HORIZONS · STRUCTURAL SHIFTS · IMAGINATION

INTERNAL RESEARCH · MEMO · NOT INVESTMENT ADVICE · AI-ASSISTED

2 July 2026 · the qualitative

Delta Air Lines

$93.06

NYSE : DAL · Mature-Company DCF

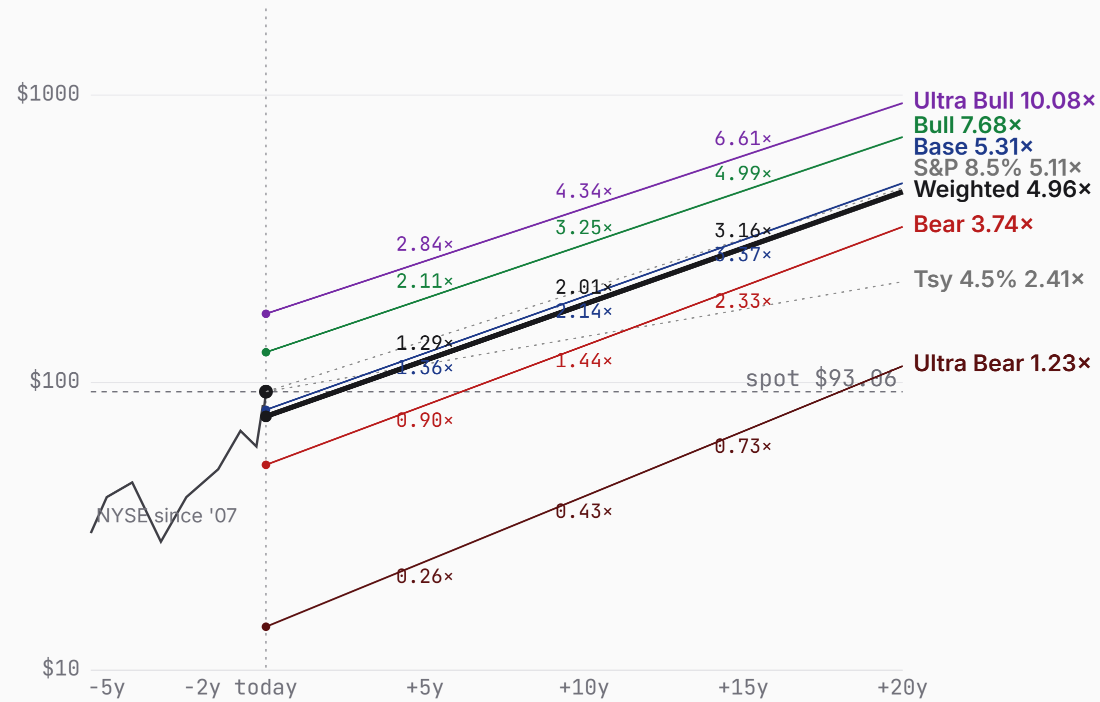
$60.78B mkt cap · 653M sh · $4.31B cash, $13.31B net debt · $4.31B cash vs $13.31B gross debt+leases → ~$9.0B net debt (adjusted net debt below 2019, investment-grade at all 3 agencies); ~653M shares; Revenue $63.4B FY25 (GAAP, grossed up by third-party refinery sales); GAAP op margin ~9.2%; FCF ~$3.8B; Down ~6% YTD, up ~79% TTM (52-wk $45.28-$83.83); FY26 guide EPS $6.50-7.50 (+20%), FCF $3-4B

THE CENTRAL QUESTION

Does the premium-cabin + Amex loyalty mix durably de-cyclicalize Delta toward a higher-margin consumer/payments business, or does it revert to fuel-and-cycle airline economics?

Delta trades at ~$54.25B equity (~$83.06, ~+79% TTM) → ~14x FCF on $63.4B GAAP revenue, ~9.2% operating margin, ~$3.8B FCF, but ~$9B net debt drags the equity. The bull is the premium-cabin + SkyMiles-Amex loyalty annuity (premium revenue +14%, Amex remuneration >$2B toward $10B) re-rating earnings toward a lower-beta consumer/payments mix; the bear is reversion to fuel-and-cycle economics with a K-shaped main cabin. The modal case lands ~fair (-3%) - cheap-on-FCF is offset by cyclicality and the debt bridge.

PRICE + PROJECTIONS · HISTORICAL THROUGH PROBABILITY-WEIGHTED FORWARD



PROBABILITY-WEIGHTED EXPECTED VALUE

$76.35 expected fair value today

-18.0% vs spot $93.06

FORWARD COMPOUNDED VALUE

+5y	+10y	+15y	+20y
$119.61	$187.46	$293.97	$461.24
1.29× spot	2.01× spot	3.16× spot	4.96× spot

WEIGHTING RATIONALE

Ultra Bear 16% Recession air-pocket; cyclical reversion + debt drag; ~$14 (-83%).
Bear 28% K-shaped softness; stays airline-like; ~$52 (-38%).
Base 33% Premium/loyalty hold; margins grind up; ~$80 (-3%).
Bull 15% Loyalty annuity de-cyclicalizes earnings; ~$128 (+54%).
Ultra Bull 8% Consumer/payments re-rate; ~$174 (+109%).

Bull (15%) + Ultra Bull (8%) together contribute $33.03 — 43% of the $76.35 expected value despite 23% combined probability. Today's spot ($93.06) sits 22% above the weighted expected; forward-weighted value crosses spot between +5y and +10y.

ULTRA BEAR	BEAR	BASE	BULL	ULTRA BULL
$14.17	$51.80	$80.48	$127.57	$173.62
-84.8% vs spot	-44.3% vs spot	-13.5% vs spot	+37.1% vs spot	+86.6% vs spot
CAGR +0.5% WACC 11.0%	CAGR +2.8% WACC 10.0%	CAGR +3.6% WACC 9.5%	CAGR +4.6% WACC 9.0%	CAGR +5.2% WACC 8.8%
CAGR +0.5% Prob 16%	CAGR +2.8% Prob 28%	CAGR +3.6% Prob 33%	CAGR +4.6% Prob 15%	CAGR +5.2% Prob 8%
Recession air-pocket; cyclical reversion.	K-shaped softness; margins stay airline-like.	Premium/loyalty hold; margins grind up.	Loyalty annuity de-cyclicalizes the earnings.	Consumer/payments re-rate; full multiple shift.

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LONG HORIZONS · STRUCTURAL SHIFTS · IMAGINATION

Delta Air Lines scenario narratives

PROBABILITY WEIGHTS

Ultra Bear 16% Bear 28% Base 33% Bull 15% Ultra Bull 8% · Weighted expected $76.35 (-18.0% vs spot)

ULTRA BEAR $14.17

-84.8% vs spot

Probability 16%

Recession air-pocket; cyclical reversion.

WHY 16%

The genuine cyclical bear: airlines carry operating + financial leverage, Q1 already printed a GAAP pre-tax loss on investment marks, and main cabin is 'struggling.' 16% weight on a recession/fuel air-pocket inside the 5-year window.

WHAT HAPPENS

A recession hits travel: a demand air-pocket drops revenue ~8% in year one, fuel spikes against the cycle, and the premium/loyalty mix can't offset a collapsing main cabin. Operating margin reverts to the mid-single digits of a commoditized carrier and FCF margin falls near 1-3% as the capital-intensive fleet still has to be funded.

A fuel-and-cycle airline with ~$9B net debt and a low-single-digit terminal earns a depressed ~11-12x FCF multiple → DCF ~$14 (-83%); the debt bridge turns a cyclical earnings shock into an outsized equity drawdown.

BEAR $51.80

-44.3% vs spot

Probability 28%

K-shaped softness; margins stay airline-like.

WHY 28%

Capacity discipline holds the floor but the premium/Amex annuity doesn't durably lift the blended margin; soft main-cabin traffic + fuel keep it cyclical. 28% as the plausible 'stays an airline' path.

WHAT HAPPENS

No recession, but the main cabin stays soft (K-shaped demand) and the premium/loyalty re-rate stalls: revenue grows ~3% while fuel and labor hold operating margin near 7-8% - solidly airline, not consumer. FCF margin sits ~5%.

DCF ~$52 (-38%) - a cyclical carrier whose earnings haven't de-cyclicalized is worth meaningfully below today's price once ~$9B net debt is netted; the market's airline discount is warranted if the mix doesn't shift.

BASE $80.48

-13.5% vs spot

Probability 33%

Premium/loyalty hold; margins grind up.

WHY 33%

Requires the premium/loyalty mix to hold and margins to grind up modestly without a recession - consistent with the FY26 guide (+20% EPS, $3-4B FCF) but not a full re-rate. 33% as the central, near-fair outcome.

WHAT HAPPENS

The modal path: premium revenue and Amex remuneration keep growing toward the $10B target, capacity stays disciplined, and the blended operating margin grinds from ~9% toward ~9.5% as the higher-margin mix partly offsets a flat main cabin. Revenue compounds ~4% to ~$77B at ~6% FCF margin.

DCF ~$80 (-3%) - roughly fair. The loyalty/premium annuity is genuinely valuable, but at a ~14x FCF multiple and with ~$9B net debt the modal case only recovers to about today's price; cheap-on-FCF is offset by the cycle and the debt bridge.

BULL $127.57

+37.1% vs spot

Probability 15%

Loyalty annuity de-cyclicalizes the earnings.

WHY 15%

Premium revenue already ~ main cabin and Amex remuneration >$2B/+10% toward $10B; an investment-grade, deleveraging balance sheet supports the re-rate. ~15% weight on the loyalty/premium mix durably shifting the multiple.

WHAT HAPPENS

The de-cyclicalization lands: premium + SkyMiles-Amex grow into a durable, higher-margin earnings core, falling rates cut interest expense on the deleveraging balance sheet, and operating margin steps up toward ~11% with FCF margin ~8%. The market starts valuing Delta partly as a consumer/payments annuity rather than a pure carrier, lifting the multiple.

DCF ~$128 (+54%) - if a real chunk of earnings re-rates toward a lower-beta loyalty/premium business, the airline discount narrows and the de-rated entry re-rates with the fundamentals; this is the core of the bull.

ULTRA BULL $173.62

+86.6% vs spot

Probability 8%

Consumer/payments re-rate; full multiple shift.

WHY 8%

Everything works - premium AND loyalty/Amex AND deleveraging AND a multiple shift toward consumer/payments, the durable lower-beta outcome. ~8%, the long-duration tail on the mix winning.

WHAT HAPPENS

The full second act: the premium-cabin + loyalty/Amex annuity becomes the dominant earnings driver, the main cabin is a stable utility beneath it, operating margin reaches ~13% at ~10% FCF margin, and the balance sheet de-levers through the cycle. Delta re-rates toward a higher-margin consumer/payments multiple rather than a carrier multiple. Revenue compounds ~5% to ~$80B.

DCF ~$174 (+109%) - the structural re-rate from 'airline' to 'travel/payments annuity'; ~8% probability, the asymmetric upside the de-cyclicalization thesis is buying.

INTERNAL RESEARCH · MEMO · NOT INVESTMENT ADVICE · AI-ASSISTED

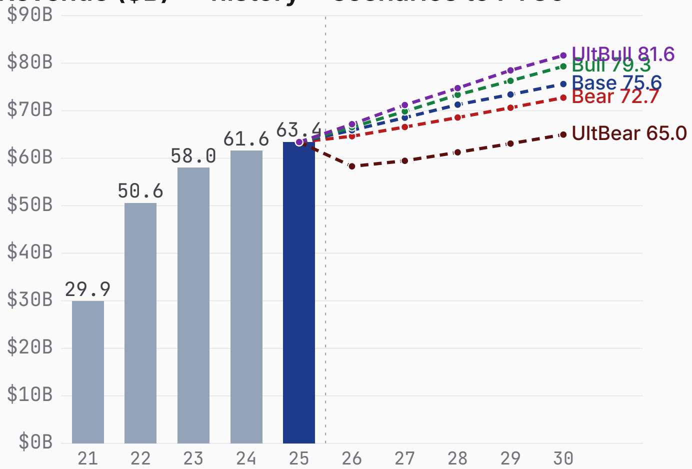
2 July 2026 · the snapshot

Delta Air Lines business snapshot

Bear $51.80 Base $80.48 Bull $127.57

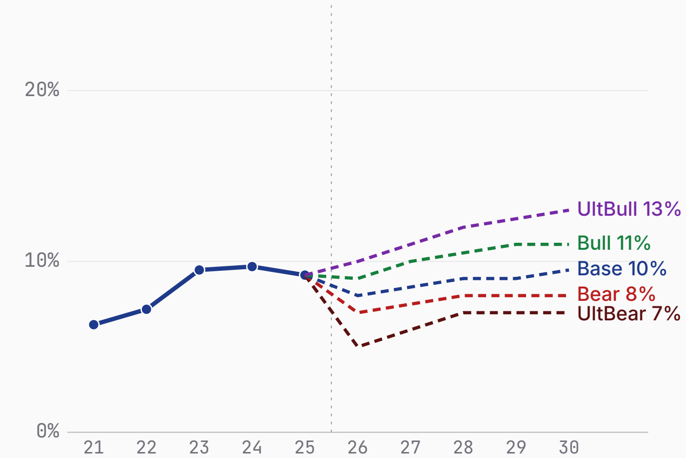
FY21-FY25 history + FY26-FY30 scenario projections · fiscal years end late Dec · Q1 FY2026 results + FY26 guidance

Revenue ($B) — history + scenarios to FY30

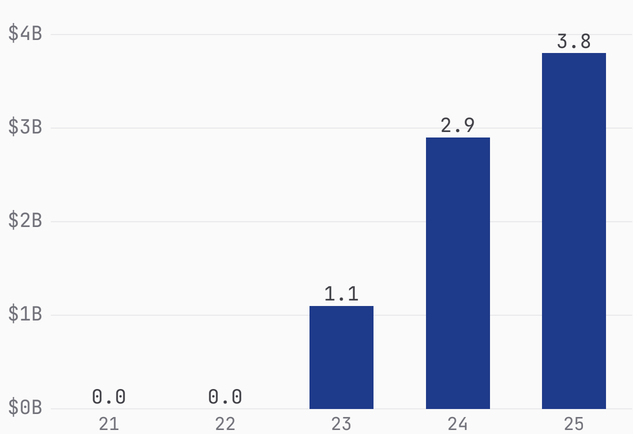


Revenue by segment ($B)

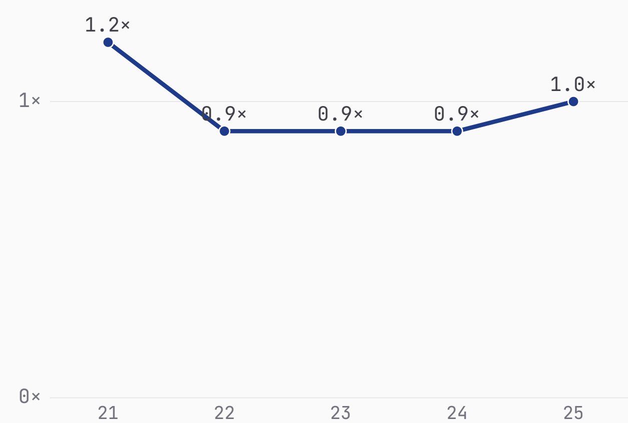
Op margin — history + scenarios



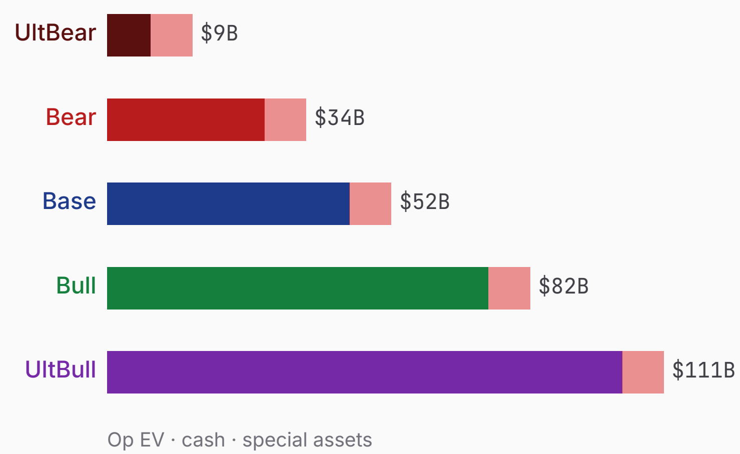
Free cash flow ($B) — history



EV / Revenue — historical



Equity build (Op EV − net debt)



Sources: SEC XBRL company facts (CIK 27904), Delta Q1 FY2026 release (adjusted revenue $14.2B/+9.4%, premium revenue +14% ~ main cabin, Amex remuneration >$2B/+10% toward $10B, adjusted net debt $13.5B), FY2026 guide EPS $6.50-7.50 / FCF $3-4B. Revenue is a growth path off FY25 GAAP revenue (grossed up by refinery sales); FCF = revenue x FCF margin; Gordon terminal; ~$9B net debt nets out. Multiples vs UAL/AAL/LUV.

Delta Air Lines 7 Powers · the moat, scored

Bear $51.80 Base $80.48 Bull $127.57

Arena. Network airlines + travel/payments - Delta (premium-cabin + SkyMiles-Amex loyalty) vs United, American, Southwest, and the low-cost carriers; auditing scale economies and a loyalty/branding annuity against cyclicality, fuel, and main-cabin commoditization.

POWER AUDIT
dominant-power durability: medium

POWER AUDIT · 7 POWERS

Scale Economies · thesis leans here	3/3	Hub-and-spoke density (ATL and the major hubs), fleet/maintenance scale, and a global JV/alliance network give real cost-per-seat and schedule advantages vs LCCs - the strongest classic airline Power.
Network Economies	2/3	The SkyMiles-Amex-partner ecosystem (more partners → more value → more members) is a genuine network, but membership doesn't lock a flyer onto Delta metal.
Counter-Positioning	1/3	The premium-heavy, full-service model is hard for LCCs to copy without abandoning their cost structure, but it isn't true counter-positioning - the legacy peers run it too.
Switching Costs	2/3	Elite status, miles balances, and Amex card ties create real but surmountable stickiness; a determined flyer still switches for price/schedule.
Branding	3/3	A genuine premium/operational-reliability brand (on-time, premium cabins, loyalty) that supports a fare premium - the consumer/payments leg the bull is underwriting.
Cornered Resource	3/3	Slots/gates at constrained hubs and the long-term Amex co-brand economics are quasi-cornered - scarce, contracted, and hard for a rival to replicate.
Process Power	2/3	Operational reliability and revenue-management/segmentation execution that peers chase but don't fully match; real, but imitable over time.

PEER SET

United (UAL) 5% gr · 8% mgn · ~7x EV/FCF
The closest network-carrier peer; premium/international push and a similar loyalty/co-brand engine - the direct mix-and-margin comp.

American (AAL) 3% gr · 5% mgn · ~8x EV/FCF
Network peer carrying heavier debt; the more-cyclical, weaker-balance-sheet end of the legacy three.

Southwest (LUV) 4% gr · 6% mgn · ~12x EV/FCF
Low-cost domestic leader, point-to-point; the value/main-cabin pressure on Delta's economy fares.

American Express (AXP) 9% gr · 21% mgn · ~18x P/E
Not a flight rival but the loyalty counterparty whose remuneration is the de-cyclicalizing annuity; the payments business Delta is partly valued against.

THREAT VECTORS · FALSIFIERS

Scale Economies · Fuel spikes + recession demand air-pocket
falsifier: A cyclical downturn compresses operating margin back to mid-single digits while ~$9B net debt amplifies the equity hit - the ultra-bear.

Branding · K-shaped main-cabin softness / LCC value wars
falsifier: Main-cabin traffic stays negative and premium can't offset it, so the blended margin stays airline-like instead of re-rating.

Cornered Resource · Amex renegotiation / co-brand competition
falsifier: Amex remuneration growth stalls short of the $10B target, removing the loyalty annuity that the de-cyclicalization thesis depends on.

COMPETITIVE READ

Delta's strongest Power is classic airline scale economies - hub density, fleet/maintenance scale, and a global network that LCCs can't match on cost-per-seat - reinforced by quasi-cornered slots/gates and a genuine premium brand. The differentiated bet is the SkyMiles-Amex loyalty annuity (network + cornered-resource): a high-margin, lower-beta payments stream (>$2B/quarter toward $10B) that, with the growing premium cabin, could de-cyclicalize the earnings toward a consumer/payments business. The Audit: scale economies are durable (medium), but the loyalty re-rate is the live, unproven swing factor, and the threats are cyclicality/fuel + a soft, K-shaped main cabin - all amplified by ~$9B net debt. That tension is exactly the DCF finding: cheap at ~14x FCF, but the modal case lands ~-3% (fair) because the cycle and the debt bridge offset the multiple until the mix durably shifts.

INTERNAL RESEARCH · MEMO · NOT INVESTMENT ADVICE · AI-ASSISTED

2 July 2026 · the quantitative

Delta Air Lines show your work

Bear $51.80 Base $80.48 Bull $127.57 · Weighted $76.35 (-18.0%)

ULTRA BEAR $14.17

ASSUMPTIONS

5y revenue CAGR (%)	+0.5
Year-5 op margin (%)	7.0
WACC (%)	11.0
Terminal growth (%)	2.0
5y revenue CAGR (%)	+0.5
Starting revenue ($B)	63.36
Scenario probability (%)	16

5-YEAR DCF · $B

FY	Rev	Margin	FCF	PV FCF
FY26	58.29	+5%	+0.58	+0.53
FY27	59.46	+6%	+1.19	+0.96
FY28	61.24	+7%	+1.84	+1.34
FY29	63.08	+7%	+1.89	+1.25
FY30	64.97	+7%	+1.95	+1.16

Σ PV explicit FCF	+5.24
+ PV terminal (g 2.0%)	13.11

EQUITY BUILD · $B & PER SHARE

Operating EV	$18.35B
+ Cash & investments	$4.31B
− Net debt	$13.31B
= Equity value	$9.35B
FY30 shares (M)	660
= Expected per share	$14.17

FUTURE FAIR VALUE · IF SCENARIO PLAYS OUT

+5y	+10y	+15y	+20y
$23.88	$40.23	$67.80	$114.24
0.26×	0.43×	0.73×	1.23×

BEAR $51.80

ASSUMPTIONS

5y revenue CAGR (%)	+2.8
Year-5 op margin (%)	8.0
WACC (%)	10.0
Terminal growth (%)	2.5
5y revenue CAGR (%)	+2.8
Starting revenue ($B)	63.36
Scenario probability (%)	28

5-YEAR DCF · $B

FY	Rev	Margin	FCF	PV FCF
FY26	64.63	+7%	+2.58	+2.35
FY27	66.57	+8%	+3.00	+2.48
FY28	68.56	+8%	+3.43	+2.58
FY29	70.62	+8%	+3.53	+2.41
FY30	72.74	+8%	+3.64	+2.26

Σ PV explicit FCF	+12.07
+ PV terminal (g 2.5%)	30.86

EQUITY BUILD · $B & PER SHARE

Operating EV	$42.93B
+ Cash & investments	$4.31B
− Net debt	$13.31B
= Equity value	$33.93B
FY30 shares (M)	655
= Expected per share	$51.80

FUTURE FAIR VALUE · IF SCENARIO PLAYS OUT

+5y	+10y	+15y	+20y
$83.42	$134.36	$216.38	$348.48
0.90×	1.44×	2.33×	3.74×

BASE $80.48

ASSUMPTIONS

5y revenue CAGR (%)	+3.6
Year-5 op margin (%)	9.5
WACC (%)	9.5
Terminal growth (%)	2.5
5y revenue CAGR (%)	+3.6
Starting revenue ($B)	63.36
Scenario probability (%)	33

5-YEAR DCF · $B

FY	Rev	Margin	FCF	PV FCF
FY26	65.89	+8%	+3.29	+3.01
FY27	68.53	+9%	+3.77	+3.14
FY28	71.27	+9%	+4.28	+3.26
FY29	73.41	+9%	+4.41	+3.06
FY30	75.61	+10%	+4.92	+3.12

Σ PV explicit FCF	+15.59
+ PV terminal (g 2.5%)	45.72

EQUITY BUILD · $B & PER SHARE

Operating EV	$61.31B
+ Cash & investments	$4.31B
− Net debt	$13.31B
= Equity value	$52.31B
FY30 shares (M)	650
= Expected per share	$80.48

FUTURE FAIR VALUE · IF SCENARIO PLAYS OUT

+5y	+10y	+15y	+20y
$126.69	$199.45	$313.98	$494.28
1.36×	2.14×	3.37×	5.31×

BULL $127.57

ASSUMPTIONS

5y revenue CAGR (%)	+4.6
Year-5 op margin (%)	11.0
WACC (%)	9.0
Terminal growth (%)	3.0
5y revenue CAGR (%)	+4.6
Starting revenue ($B)	63.36
Scenario probability (%)	15

5-YEAR DCF · $B

FY	Rev	Margin	FCF	PV FCF
FY26	66.53	+9%	+3.99	+3.66
FY27	69.85	+10%	+4.89	+4.12
FY28	73.35	+11%	+5.50	+4.25
FY29	76.28	+11%	+6.10	+4.32
FY30	79.33	+11%	+6.35	+4.13

Σ PV explicit FCF	+20.47
+ PV terminal (g 3.0%)	70.81

EQUITY BUILD · $B & PER SHARE

Operating EV	$91.28B
+ Cash & investments	$4.31B
− Net debt	$13.31B
= Equity value	$82.28B
FY30 shares (M)	645
= Expected per share	$127.57

FUTURE FAIR VALUE · IF SCENARIO PLAYS OUT

+5y	+10y	+15y	+20y
$196.28	$302.00	$464.67	$714.95
2.11×	3.25×	4.99×	7.68×

ULTRA BULL $173.62

ASSUMPTIONS

5y revenue CAGR (%)	+5.2
Year-5 op margin (%)	13.0
WACC (%)	8.8
Terminal growth (%)	3.0
5y revenue CAGR (%)	+5.2
Starting revenue ($B)	63.36
Scenario probability (%)	8

5-YEAR DCF · $B

FY	Rev	Margin	FCF	PV FCF
FY26	67.16	+10%	+4.70	+4.32
FY27	71.19	+11%	+5.70	+4.81
FY28	74.75	+12%	+6.73	+5.22
FY29	78.49	+13%	+7.46	+5.32
FY30	81.63	+13%	+8.16	+5.35

Σ PV explicit FCF	+25.03
+ PV terminal (g 3.0%)	95.09

EQUITY BUILD · $B & PER SHARE

Operating EV	$120.12B
+ Cash & investments	$4.31B
− Net debt	$13.31B
= Equity value	$111.12B
FY30 shares (M)	640
= Expected per share	$173.62

FUTURE FAIR VALUE · IF SCENARIO PLAYS OUT

+5y	+10y	+15y	+20y
$264.69	$403.54	$615.22	$937.95
2.84×	4.34×	6.61×	10.08×

Delta Air Lines People · Opportunity · Context · Deal

Bear $51.80 Base $80.48 Bull $127.57

Underwrite the position the way a venture investor underwrites a round — across all four legs, public or private. **People** is the leg scored here (observable only); Opportunity, Context and Deal cross-reference the rest of the memo.

PEOPLE · WHO RUNS / OWNS / FUNDS IT

Ed Bastian — 10 yrs in seat

0.5% insider ownership

LOW key-person risk

Capital allocation (realized)
Ed Bastian has been CEO since 2016 (a career Delta executive, not a founder). Capital allocation in FY2025 balanced a record ~$4.6B free cash flow against deleveraging — adjusted net debt cut ~$3.7B to ~$14.3B (net debt/EBITDA ~1.8x) — plus a reinstated, growing dividend (+15% to $0.86) and ~$5.5B of 2026 reinvestment. The defined-benefit pension is overfunded (+$2.3B). Employee profit-sharing paid $1.3B for FY2025.

Incentive alignment
Bastian's FY2025 compensation was ~$19.2M (heavily equity-weighted); insider trading is routine selling, no open-market buying. Alignment is standard for a widely-held mega-cap (insiders under 1%), reinforced by a clawback policy, anti-hedging/anti-pledging rules, and stock-ownership guidelines. Say-on-pay drew ~95% support.

GOVERNANCE FLAGS

- single class of common stock, one vote per share — no dual-class, no controlling shareholder (largest holder Vanguard ~11%)
- Chair and CEO are separated, with an INDEPENDENT non-executive Chair (David Taylor, ex-P&G) — a strong structural positive
- 12 of 14 directors independent; board declassified (annual elections), majority-vote standard
- a pilots-union (ALPA) board seat is the second non-independent director — an unusual but disclosed labor-governance feature
- large absolute debt is inherent to a capital-intensive airline (a financial, not governance, flag) and is being steadily reduced

THE FOUR LEGS

People ●●●●○
observable composite · 1–5

Opportunity
The scenario distribution · the Page-3 business snapshot · the Arthur Indicator

Context
The 7 Powers analysis (Power Audit)

Deal
Open-market purchase = the deal: entry price vs. the scenario distribution (the -8.1% finding) + position sizing.

> **PEOPLE READ**
> Among the cleanest governance in the book: single-class one-vote stock, a separate INDEPENDENT non-executive Chair, a 12-of-14 independent declassified board with majority voting, and strong pay hygiene (clawback, anti-pledging, ~95% say-on-pay). Key-person risk is low — a named internal heir apparent and a deep, recently-promoted bench. The watch-items are financial (airline debt, cyclicality), not governance.

Delta Air Lines supporting analysis · disclaimers · glossary

Bear $51.80 Base $80.48 Bull $127.57

PUSHBACK · WHY THE BASE CASE IS TOO HARSH

1 **~14x FCF looks cheap, but the modal DCF is still ~-3%.**
Cyclicality + ~$9B net debt, not the multiple, hold it to roughly fair.

2 **GAAP revenue is grossed up by the refinery.**
Refinery third-party fuel sales inflate GAAP revenue; cash flow is what matters, not the ratio.

3 **The premium/loyalty annuity is real and growing.**
Premium ~ main cabin and Amex >$2B/+10% toward $10B - the de-cyclicalizing engine.

4 **Investment-grade and deleveraging.**
IG at all 3 agencies; adjusted net debt below 2019 and falling, improving the equity bridge.

5 **It is still a fuel-and-cycle airline.**
Q1 printed a GAAP pre-tax loss on marks; leverage cuts both ways - the ultra-bear.

FALSIFICATION TRIGGERS

Bull validation
premium + loyalty keep outgrowing main cabin · Amex remuneration compounds toward $10B · blended operating margin rises above ~10% · net debt keeps falling

Bear validation
main-cabin traffic stays negative as premium can't offset it · fuel/labor compress operating margin toward ~7% · FCF undershoots the $3-4B guide

Reframe needed
if a recession air-pocket hits demand or the premium/loyalty re-rate stalls, the earnings stay cyclical - re-rate the terminal toward a fuel-and-cycle carrier multiple

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Forward-looking statements.
Scenarios, valuations, projections, and any forward-looking statements involve substantial assumptions and uncertainty. Actual results may differ materially from those projected. Past performance is not indicative of future results. The model is a model; reality is not.

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GLOSSARY · CONCEPTS REFERENCED IN THE NARRATIVE

Premium revenue — Sales from premium cabins/products (first, Delta One, Comfort+, premium economy); now ~ main cabin and +14% - the higher-margin mix shift at the heart of the bull.

SkyMiles / Amex remuneration — Cash Delta receives from American Express for co-brand cards and miles (>$2B/quarter, +10%, toward $10B/yr) - a high-margin, lower-beta payments annuity de-cyclicalizing earnings.

Main cabin / K-shaped demand — Economy seats serving price-sensitive flyers; 'K-shaped' = premium holding up while main cabin softens - the central bear signal.

Monroe refinery / GAAP gross-up — Delta's refinery sells fuel to third parties; those sales inflate GAAP revenue, so the GAAP FCF margin reads low.

FCF margin — Free cash flow / revenue (~6% FY25 on GAAP revenue); the swing factor - whether premium/loyalty lift the blended margin or fuel-and-cycle caps it.